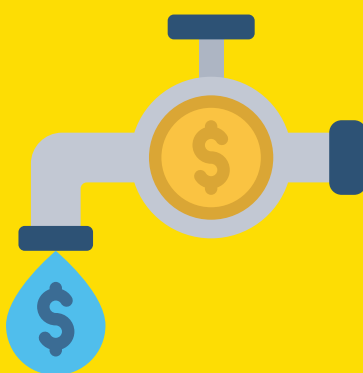


Money in the emergency system needs to be readily available and hence should be in liquid assets. We will not buy real estate or equity with the emergency funds. We will consider floating rate fund category and liquid funds category of mutual funds. Apart from these, we can also opt for regular bank fixed deposits.



FLOATING RATE FUNDS

Floating rate funds are those where the money is invested in fixed income assets, whose interest rate is not fixed i.e. it returns the market interest rate. It is called floating because the interest rate keeps changing as per the market.



LIQUID FUNDS

These are those where money is invested for short term and price is not too variable. We can also invest in money market category of mutual funds.



FIXED DEPOSITS

Fixed deposits are maintained with banks. They offer low returns but they are suitable for the purpose. They can also be withdrawn with a penalty.

All of them have similar characteristics and each of them can meet our requirements for the emergency system. So, we can go ahead with either one or a combination of more than one of these assets according to our convenience.